

1. Why did you choose this problem and what potential impact can solving it create?

Problem:

- Undergoing multiple KYCs** for various financial services remains burdensome for the layman. While the central KYC (cKYC) system aims to streamline this, its reach is limited, causing physical friction.
- Many financial institutions, especially the upcoming digital pioneers still heavily rely on eKYC owing to its seamless and digital nature and yet there is hardly any **interface/system for users to use their cKYC data**.
- The central KYC records registry suffers from **non-standardized formats**, leading to **data quality issues**.
- Updating cKYC details is a **complicated process**, especially for the digitally illiterate.
- RBI's mandate for timely KYC updates** makes streamlining this process a need of the hour.

Impact Generated by solving this problem:

For retail Customers:	For Financial Institutions:
- Streamlining the KYC process by providing an interface to retail customers for controlling their KYC data usage and hence avoiding multiple procedures Reducing the time and effort required for the KYC process by providing a simple click solution to make an updation.	- Significantly reducing operational costs for data management and staff required for the KYC process. - Strengthening data security and quality control over the KYC information of customers, standardizing it.

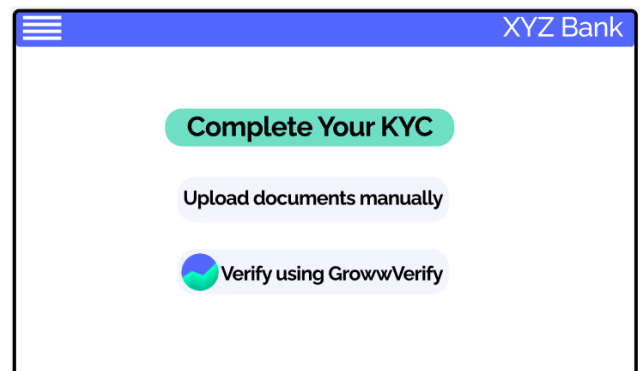
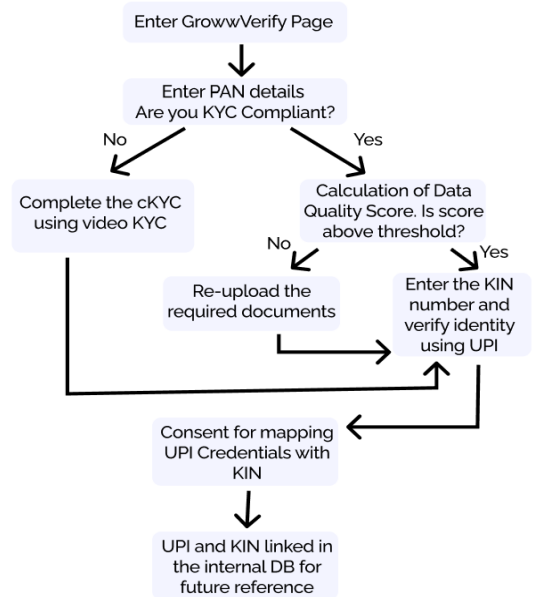
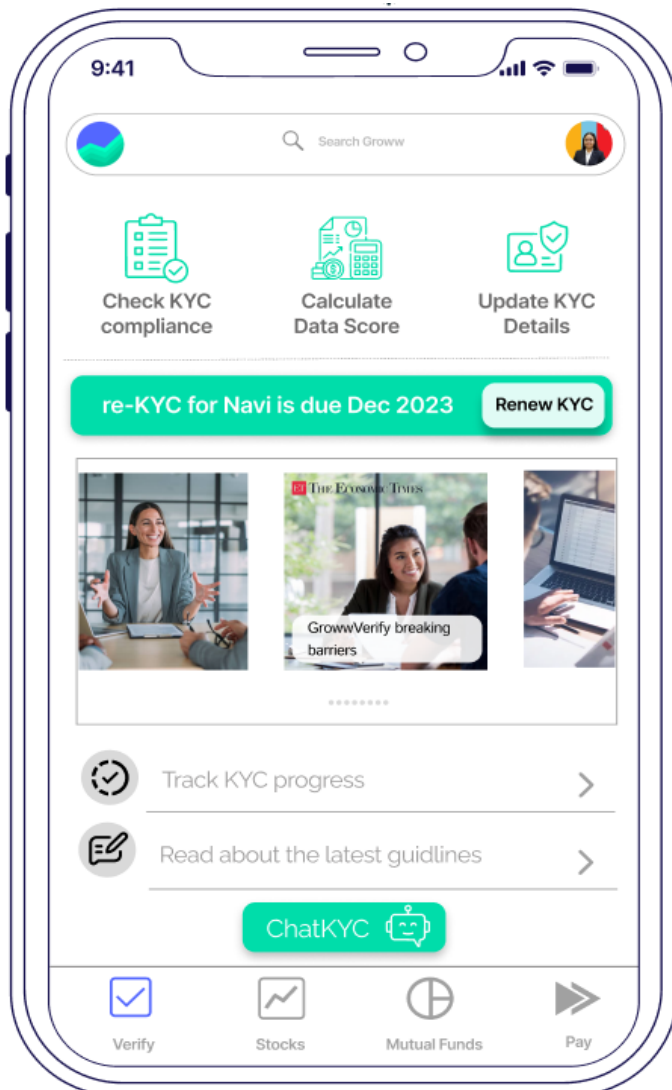
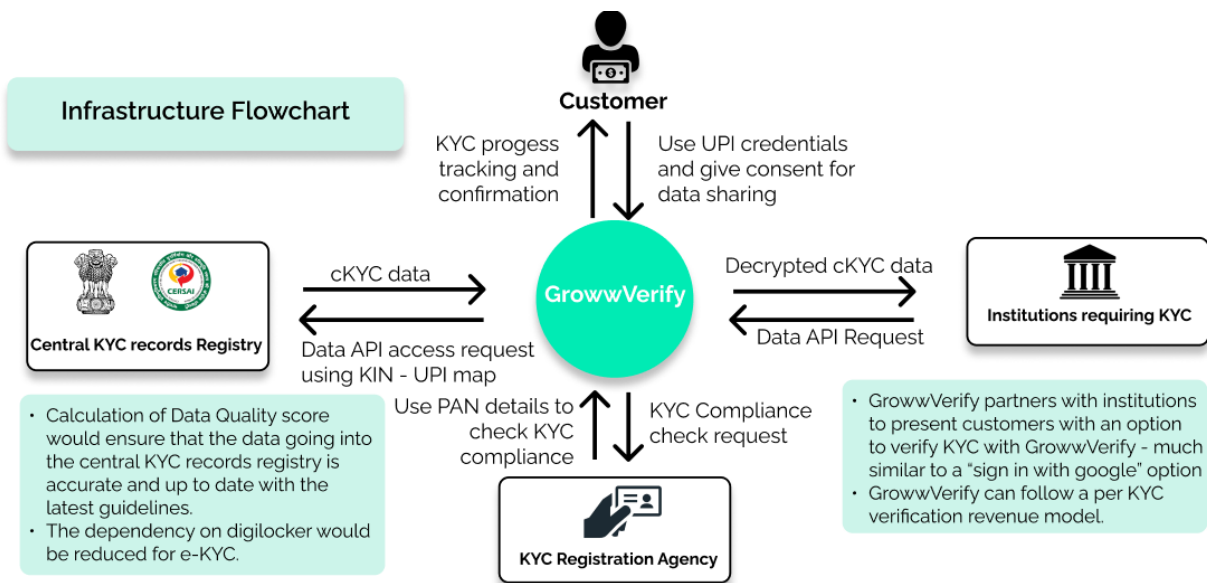
2. Which is **customer segment** getting impacted?

Retail Customers	Financial Institutions	Government (Central KYC Records Registry)
- Multiple, time-consuming, and cumbersome KYC processes, some even requiring physical presence. - Unawareness about cKYC and its limited approach. KIN just becomes another number to remember.	- KYC processes result in a lot of operational costs in terms of staff and compliance systems. - High dependency on Neo banks and digitally based REs on eKYC with no interface to centralize the process.	- Absence of standardized format for KYC resulting in reduced data quality control - Limited reach and awareness of cKYC

3. How would you solve the problem using technology? - **Proposed Solution**

[Mockup Link for the registration process](#) | [Mockup Link for KYC registration through GrowwVerify](#)

Solution Description	1	2	3	4	5
GrowwVerify: a sub-product of Groww, operates on a blend of an account aggregator and KRA model, enabling users to conveniently reuse their KYC information across various financial institutions through a unified sign-in functionality. This is achieved by mapping cKYC details with UPI for retail customers.	cKYC compliance and data sharing - Check your cKYC compliance - Get cKYC done/updated if not already present using video KYC	Data Quality score data quality score assigned to cKYC data, based on latest guidelines to ensure continuous updation by customer	Encrypted cKYC - UPI mapping - Map your cKYC data to your UPI credentials. - Use GrowwVerify and UPI creds to share cKYC data with other institutions	KYC Dashboard - KYC updation. - re-KYC notifications - Progress tracking for multiple KYC processes - LLM chat bots trained on KYC procedures	Not just Financial institutions - Partner with AePS program to reach rural areas for cKYC - Extend the KYC functionality to online retailers, gaming companies etc.



4. How will you launch this solution to the customers?

Phase 1	Phase 2	Phase 3
1. (UPI-based authentication): Reach out to the National Payments Corporation of India to allow customers to use their UPI credentials as a means to share cKYC information through GrowwVerify. Since UPI is a vast and robust infrastructure, it is the best way to reach out to the masses. 2. Since the AEPS(Aadhar-based payment system) initiative has the physical infrastructure penetrating the rural areas and enabling e-KYC, GrowwVerify can partner with the initiative and ensure it reaches the most remote areas of the country.	1. Reach out to institutions that usually take KYCs from their customers and pitch GrowwVerify as an easy and cost-effective integration solution to KYCs. 2. The next time, someone wishes to create an account with the institution, the customer will be prompted with the “Verify with GrowwVerify” button. - Enter your phone number and Groww Pin. Confirm identity using an OTP on mobile. - Give consent. Redirected to the UPI page, enter the PIN. - The cKYC data transfer is done.	1. Run digital and TV marketing campaigns while focusing on the following elements of GrowwVerify: - Data Security - Hassle-free - Easy KYC updates, without visiting the Bank branch 2. With a growing number of Finfluencers, GrowwVerify can co-author content around KYC with such individuals. 3. Publish Whitepaper reports on the workings of GrowwVerify and its philosophy behind the product to garner customer trust. 4. Physical advertisements can be deployed around public transport systems such as local trains and buses.

5. How will you measure the success of your solution?

Various KPIs we can use to measure the success of the solution include:

High Conversion Rate	Reduction in average KYC completion time	Increase in average Data Quality Score	Reduction in KYC-related costs	Increase in Groww Users and NPS
% of cKYCs completed through GrowwVerify	The time taken for KYC completion for a user through the “Verify with GrowwVerify” option	Increase in av. Data quality score will signal quality control over the CERSAI database and a move towards standardization.	A reduction in KYC-related costs for financial institutes ensures operational efficiency	An overall increase in customers for Groww and an increased NPS indicates customer satisfaction.

6. Why could this solution fail?

- Data Security concerns:** Since financial institutions are skeptical about sharing customer information with third-party service providers. Groww Verify must establish credibility with financial institutions by showcasing the security of its platform. This might prove to be one of the hurdles to successful implementation of GrowwVerify.
- Government Regulation:** Although the introduction of India stack and Aadhaar-based authentication indicates the accommodating nature of the government to upcoming tech solutions in the KYC space, UPI-based authentication will be a new area to explore. Given it is an integral part of the solution, the solution can face setbacks if the government doesn't give the green light. A potential solution would be to shift to Aadhaar-based authentication itself.
- Changing Industry Landscape:** The KYC space is an ever-changing landscape when it comes to regulations. GrowwVerify ought to be extremely nimble and adaptable to keep up with the changes.

7. Why should Groww build GrowwVerify? - Synergies

- Users signed up through GrowwVerify would present a **prepopulated application base for lending credit** - making the process faster for Groww users as compared to counterparties.
- An in-house calculation of the Data Quality score ensures **greater control over weeding out fraud identities**.
- GrowwVerify brings a new **revenue stream** and increased **trust amongst sister organizations** for collaborations.